

“There may be consolidation of ARCs going ahead”

Pallav Mohapatra, MD & CEO of Arcil, talks about new opportunities in the bad loans market, regulations, and much more

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Asset Reconstruction Company (India) Ltd or Arcil, India's oldest asset reconstruction company (ARC) that deals with bad loans or non-performing assets (NPA) across large corporate, SME, and retail segments, is making a big digital push. With assets under management of more than ₹15,230 crore, 22-year-old Arcil is also tapping new opportunities in the National Company Law Tribunal (NCLT). Arcil MD & CEO Pallav Mohapatra says there may be consolidation of ARCs going forward. In an exclusive interaction with Business Today's Anand Adhikari, Mohapatra, 63, who was MD & CEO of the

Central Bank of India earlier, talks about issues the bad loans market faces, new opportunities, and the way ahead. Edited excerpts:

Q: After a long NPA cycle, banks and the corporate sector are sitting on strong balance sheets. What does this mean for ARCs?

A: NPAs have indeed come down, and stress has stabilised in the corporate segment. The instances of new stress are also very few and far between. But there are still accounts that are not resolved, either because they are in the Insolvency and Bankruptcy Code (IBC) or outside for restructuring and resolution. **There is a reasonable business opportunity for ARCs even in the current environment.** For instance, cases in the NCLT [are] an attractive opportunity for ARCs... [while] the restructuring process has started, [they] take time in the NCLT courts (normally more than 300-350 days). Some banks or lenders to such defaulting companies want their money [back] quicker. Since there is a resolution plan or some indication [of pricing]... at the NCLT, ARCs can acquire these assets from the lending banks.

Another business opportunity has come after October 2022 with the Reserve Bank of India's new regulatory guidelines. [These say that] **ARCs with net owned**